India (TRAI), ended the public sector monopoly, and created multiple private providers.

This mixture of a public sector monopoly with regulatory functions is also found in many aspects of the RBI. Critical bond market infrastructure is owned by RBI which is also the regulator of the bond market. In the field of payments switching, there is a monopoly (National Payments Corporation of India [NPCI]) which is owned by a group of banks, where RBI has significant control. The recent proposal to build a 'Public Credit Registry' raises the possibility of an additional monopoly producer controlled by the RBI, while the RBI also performs connected regulatory functions. In all these cases, the strategy of mixing public sector production with regulation works poorly, and we would obtain improved outcomes through multiple competing private producers coupled with RBI regulation.

Example 34: Banking

There are two pillars of intervention in banking in India. On one hand, the state *regulates* banking. In addition, the Indian state *produces* banking services through the ownership of banks.

While there may be a case for privatization of banks, at a practical level, the state is a producer of banking services and will be in this business for some years. The public administration problem can then be phrased as two distinct questions. First, how should state capacity be achieved in the regulation of banking? Second, how should state capacity be achieved in the production of banking? Regulatory capability requires setting up a sound banking regulator and commensurate capabilities in a department of government. Owning banks is about setting up structures for the governance of public sector banks.

There are conflicts between these two lines of thought. Regulation by the state may be indulgent towards its own entities. The persons tasked with production may request a non-level playing field: regulatory restrictions